# KnowledgeForge Pro v3.1 — Master Strategy Document

## STRATEGY: The Forever Model (Consolidated)

**Version:** 1.0 (Merged) **Primary Architect:** Justin Werlein **Contributors:** Obi/Sniper (Variant B), FX Replay (Validation) **Classification:** Reversal / Trend Continuation **Methodology:** SMC / ICT / Algorithmic Price Action

### 1. EXECUTIVE SUMMARY

The **Forever Model** is a high-precision trading strategy designed to exploit the transition between liquidity generation (manipulation) and trend resumption. It operates on the premise that the market algorithm moves for four specific reasons:

1. Hunt Liquidity
2. Rebalance to Inefficiencies (FVG)
3. Rebalance to Equilibrium
4. Generate Liquidity

The model identifies points where "Manipulation" ends and "Distribution" begins, using specific order flow signatures (Inverse FVGs and CISD) to validate the reversal.

### 2. CORE THEORETICAL FRAMEWORK

The strategy requires a specific narrative sequence. A trade is **invalid** unless this sequence occurs:

1. **The HTF Narrative:** Price is at a Higher Time Frame (HTF) Point of Interest (1H FVG, Breaker, or Liquidity Pool).
2. **The Inducement (Manipulation):** A move *against* the higher time frame bias that sweeps a short-term High/Low or taps into a HTF inefficiency. This move "lacks displacement" (it is sluggish or wicked).
3. **The Shift (Validation):** A violent rejection of that manipulation, confirmed by specific structural breaks.

### 3. THE FOUR PILLARS (Component Checklist)

#### Pillar 1: Manipulation (REQUIRED)

- **Definition:** A sweep of Buy Side (for shorts) or Sell Side (for longs) liquidity. Alternatively, a tap into a HTF FVG.
- **Characteristic:** The move must look like a "Stop Hunt." If it displaces heavily, it might be a true breakout, not manipulation.

#### Pillar 2: Inverse Fair Value Gap (IFVG) (REQUIRED - Primary Trigger)

- **Definition:** An FVG formed during the manipulation leg that gets "run through" violently by the reversal.
- **Logic:** Support becomes Resistance (or vice versa). It proves that the algorithm is no longer respecting the old array.
- **Usage:** This is the strongest confirmation of an Order Flow Shift.

**Pillar 3: Change in State of Delivery (CISD) (REQUIRED)**

- **Definition:** Displacement through the Opening Price (or body) of the last up/down close candles that created the manipulation.
- **Validation:** Price must CLOSE beyond this level. Wicks do not count.

**Pillar 4: SMT Divergence (OPTIONAL - "A++" Filter)**

- **Definition:** Divergence between correlated assets (ES vs. NQ, or EU vs. DXY) happening *at* the manipulation point.
- **Usage:** If ES sweeps a Low but NQ makes a Higher Low, the reversal probability increases significantly.
- **Note:** While Werlein marks this as optional, the Obi Variant treats it as a primary filter.

**4. EXECUTION VARIANTS (Merged Logic)**

Because different traders execute the entry differently, the model supports two distinct **Execution Modes**.

**Mode A: The "Werlein Standard" (Momentum Focus)**

- **Best For:** Conservative traders, Algo-based trading.
- **Trigger:** Wait for a candle to **CLOSE** through an opposing FVG, turning it into an **Inverse FVG**.
- **Entry:** Limit order at the "Floor" (Long) or "Ceiling" (Short) of the Inverse FVG.
- **Stop Loss:** Safe Stop (Swing High/Low).
- **Pros:** Highest win rate (~60%), confirms order flow flip.
- **Cons:** Wider stop loss, sometimes misses entry if price doesn't retrace fully.

**Mode B: The "Sniper/Obi Variant" (Precision Focus)**

- **Best For:** Aggressive traders, High R:R seekers.
- **Trigger:** Identify the specific **Candle** that swept the liquidity. Mark its **OPEN** price. Wait for a candle to CLOSE beyond that Open.
- **Entry:** Limit order exactly at the **OPEN** price of the manipulation candle (The "CISD Line").
- **Stop Loss:** Aggressive Stop (Just above/below the manipulation candle wick).
- **Pros:** Extremely high R:R (1:5+), tight stops.

- **Cons:** Higher risk of being stopped out on noise; requires faster reaction.

### 5. EXECUTION PIPELINE (Step-by-Step)

1. **HTF Scan (1H Chart):**
   - Mark 1H Fair Value Gaps and major Swing Highs/Lows.
   - Determine Bias (e.g., "Bearish, aiming for 1H Sellside Liquidity").
2. **The Wait (Stalking Phase):**
   - Wait for price to trade *into* your 1H POI.
   - Do not trade in the middle of the range.
3. **LTF Refinement (1m / 5m Chart):**
   - **Step 1:** Observe the "Manipulation Leg" moving into the POI.
   - **Step 2 (SMT Check):** *Optional*. Check ES/NQ. Is there divergence?
   - **Step 3 (The Shift):** Watch for a violent move away from the POI.
   - **Step 4 (The Trigger):**
     - Did we break a standard FVG? (Mark as IFVG).
     - Did we close past the Manipulation Candle Open? (Mark as CISD).
4. **The Entry:**
   - Place Limit Order at the IFVG (Mode A) or CISD Line (Mode B).
5. **Targeting (Take Profit):**
   - **TP 1 (Safe):** 2 Standard Deviations of the Manipulation Leg OR Fixed 1:2 RR.
   - **TP 2 (Main):** The Opposing Liquidity Pool (The "Draw on Liquidity").
   - **TP 3 (Runner):** 4 Standard Deviations or Equilibrium of the daily range.

### 6. TECHNICAL SPECIFICATION (For Code/Automation)

#### Pseudocode Logic

```
// DEFINITIONS
HTF_Context = Price is inside 1H_FVG OR Price swept 1H_Liquidity
Manipulation_Leg = The Swing High/Low formed INSIDE the HTF_Context

// COMPONENT DETECTION
Opposing_FVG = FVG formed during the Manipulation_Leg (e.g., Bullish FVG in a Sho
Inverse_FVG_Confirmed = Price CLOSE < Low of Opposing_FVG

Liquidity_Candle = The candle with the highest High (for Shorts)
CISD_Confirmed = Price CLOSE < Open of Liquidity_Candle

// SMT FILTER (Optional)
SMT_Bearish = Symbol_High > Previous_High AND Correlated_Symbol_High < Previous_H

// ENTRY LOGIC (User Selectable Mode)
IF (HTF_Context == True) AND (Inverse_FVG_Confirmed == True):
```

```
    IF (Mode == "WERLEIN"):
        Entry_Price = Low of Opposing_FVG
        Stop_Loss = High of Manipulation_Leg

    ELSE IF (Mode == "OBI"):
        Entry_Price = Open of Liquidity_Candle
        Stop_Loss = High of Liquidity_Candle + Buffer

// EXIT LOGIC
TP_Level = Low of Manipulation_Leg - (Range of Manipulation_Leg * 2.0) // Standar
```

### 7. CRITICAL WARNINGS & RULES

1. **No Context, No Trade:** Never trade a "Forever Model" pattern in the middle of nowhere. It MUST be inside a HTF PD Array.
2. **The "Run Through" Rule:** If price creates an Inverse FVG but "hangs out" inside it for too long, the trade is lower probability. We want to see a violent rejection.
3. **Conflicting SMT:** If you are looking for shorts, but ES and NQ *both* made strong higher highs with no divergence, be cautious. Momentum may be too strong.
4. **Patience Protocol:** This model yields low frequency (approx. 2-3 high quality setups per week per pair). Do not force it.